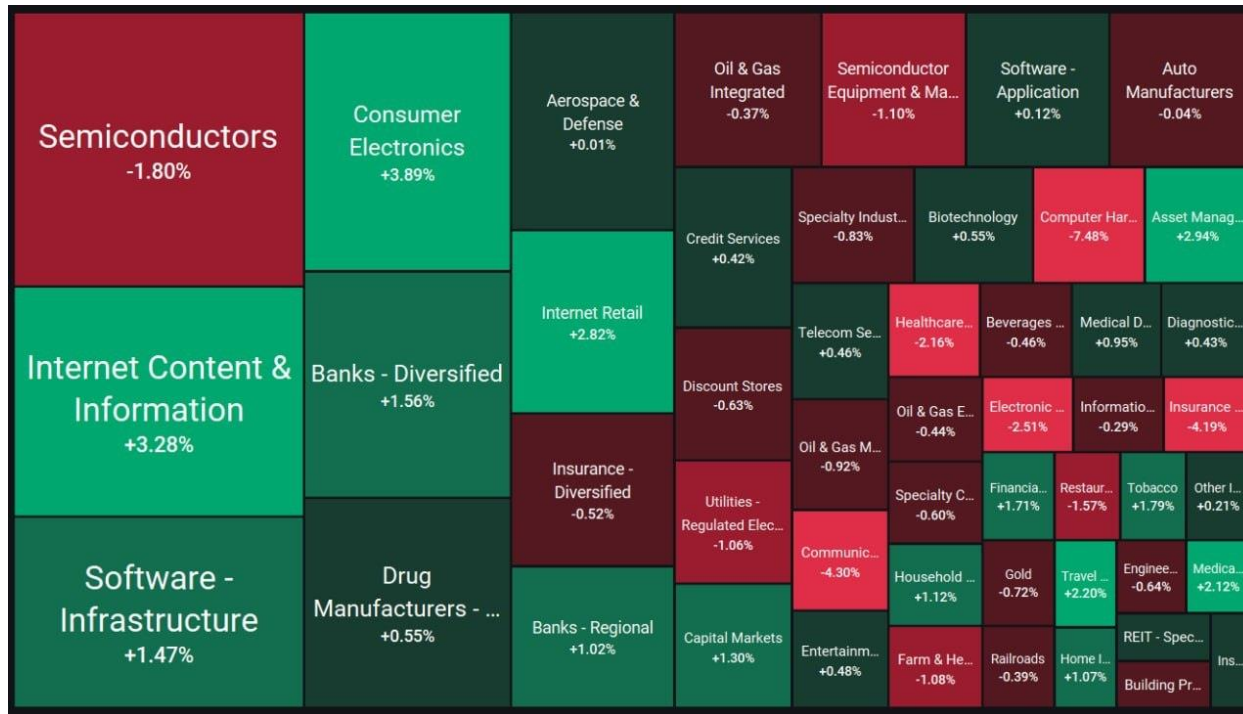




✓✓✓ Good evening, everyone! After today's U.S. market close, quite a few important signals have emerged. Let's review tonight's market performance together. On Wednesday, U.S. stocks extended the rebound momentum driven by cooling inflation, with all three major indices closing moderately higher after volatile trading. The latest data showed that the U.S. June PPI unexpectedly fell 0.3% month-over-month, reinforcing the earlier tame CPI report. The growing certainty of easing inflation significantly soothed market anxiety over further Fed rate hikes, sending the 10-year Treasury yield down to 4.57% and relieving valuation pressure on growth stocks. All three major indices ended higher, with the Nasdaq surging 0.90%, the S&P 500 gaining 0.38%, and the Dow also edging up 0.02%.

 On the sector front, BlackRock, the world's largest asset management giant, saw its shares surge 7.4% on the back of Q2 earnings that far exceeded expectations, greatly boosting market confidence in the upcoming big-bank earnings reports. Meanwhile, PayPal (PYPL) jumped over 15% amid sudden mega-merger speculation, further invigorating market trading sentiment and successfully offsetting the cost pressures from crude oil volatility triggered by geopolitical tensions in the Middle East.

 Dutch lithography giant ASML delivered strong Q2 results, with net profit coming in at €2.9 billion, significantly beating expectations, while also raising its full-year 2026 revenue guidance. Its U.S.-listed shares closed up 2.04%. This positive news, combined with the earlier strong earnings performance from memory giant SK Hynix, firmly stabilized the semiconductor sector, which had recently suffered valuation-driven selling pressure. Core computing names such as Nvidia and AMD managed to close higher, supported by solid buying interest.

 European markets also staged a volatile rebound, with the pan-European Stoxx 600 index edging up 0.10% to close at its fifth-highest level of the year. The Netherlands' AEX index led the region, surging 0.7% in early trading driven by ASML's sharp gains. Richemont rallied 5.2% against the broader trend after reporting a 17% surge in first-quarter sales, energizing the luxury goods sector. Meanwhile, chemical giant BASF fell 3.9% after leaving its cash flow outlook unchanged, which slightly weighed on German market performance.

 In terms of strategy, we recommend adding to positions on the right side in AI semiconductor and computing leaders such as ASML and SK Hynix during the current window of falling bond yields. At the same time, consider left-side bargain-hunting in defensive consumer staples and defense/aerospace sectors that are trading at valuation bottoms and offering high dividends. Given lingering geopolitical risks, overall position sizing should be kept at 50–60%, while avoiding high-energy-consumption industries such as airlines. Preserve cash and wait for further earnings reports to provide validation.

WHY YOU PICKED THE RIGHT STOCK BUT MISSED BIG PROFITS

Position sizing matters more than stock picking alone

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- One decision does not define the result



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- Good position management controls risk

Soze your trade before you enter.

📖📖📖 That's it for the market analysis. Today, let's dive into a very important topic: why do so many people pick the right stocks but still fail to make significant profits? Many believe that the key to investment success lies in stock-picking skills. However, after spending enough time in the market, you'll realize that what ultimately determines your returns is not which stock you buy, but how you manage your positions and execute your scaling-in strategy. This is the core factor that influences the success or failure of your investments.

THE RETAIL TRAP: ALL IN AT ONCE

Confidence turns into pressure when volatility arrives

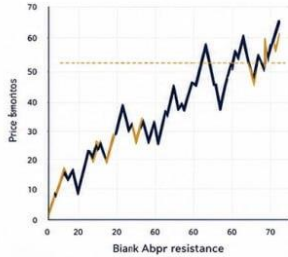


Many retail investors share a common problem: when they first buy a stock, they're full of confidence and eager to go all-in. But when the stock actually starts to rise, they become hesitant to add to their position, constantly worrying, "It's already gone up so much—would buying now be too expensive?" As a result, they can only watch the stock price continue to climb, leaving them with endless regret in the end. On the other hand, when a stock is falling, they tend to keep averaging down, thinking the price is getting cheaper and hoping to lower their cost basis while waiting for a recovery. However, the outcome is often the opposite—their position becomes heavier, the risk grows larger, and if the market continues to weaken, their losses end up escalating even further.

🙄🙄🙄 If you think carefully, the people who suffer the most severe losses in the market are often not those who made the wrong choice on their first purchase, but those who keep doubling down in the wrong direction. Truly seasoned investors typically avoid blindly increasing their positions during a loss. Instead, they wait for the market to validate their judgment before gradually adding more funds. This approach is commonly referred to as the "pyramid scaling-in method," which is frequently used by institutional investors.

THE PYRAMID ADD-ON METHOD

Add strength only when the market confirms your idea



RULE

**Add on
strength, not
on hope**

Risk control first, then profit expansion

!!! Let me give you a simple example. Suppose you plan to invest \$10,000 in total. Start by putting in \$3,000 as a test position. If the stock moves as expected and breaks through a key resistance level, then add another \$3,000. Once the trend is further confirmed, gradually deploy the remaining \$4,000.

THREE BENEFITS OF GRADUAL POSITIONING

Build into the trade instead of betting all at once



Smaller initial risk

Easier to survive a wrong first entry



More capital on confirmed ideas

Put money where the market agrees



Lower emotional pressure

Avoid one-bet anxiety

Control the downside before chasing the upside

💡💡💡 What are the biggest advantages of this approach?

First, even if your initial judgment is wrong, the loss is relatively manageable due to the lighter position.

Second, when the market starts to validate your logic, you can allocate more funds to the correct trade.

Third, you avoid the psychological stress of going all-in at once and having to endure significant volatility.

THE COST MYTH: "I SHOULD BUY LOWER"

Average cost is less important than profitable position size



Trend confirmation beats perfect timing

✦✦✦ Many people worry, "Wouldn't adding to the position later result in a higher cost?" However, it's important to understand that what truly determines your returns is not your average cost, but how large your profitable position is. Institutional investors are never fixated on buying at the lowest point; they focus more on whether a trend has been established. This is because real big gains often don't come from making money at the lowest point but from continuously expanding profits after the trend is confirmed.

🔔🔔🔔 Surely, it's important to emphasize a key premise: the pyramid buying strategy is only suitable for high-quality stocks in an upward trend, not for stocks that are continuously declining. Adding to positions during an uptrend aligns with the market, while blindly adding during a downtrend often just amplifies risk. In the future, as you follow our trading plan, you'll gradually learn how to manage your positions wisely, build positions in stages, and add to them scientifically. True long-term account growth comes not just from picking the right stocks, but from learning to manage your funds correctly.